



**INTERIM FINANCIAL STATEMENTS FOR THE SIX
MONTHS ENDED
30 JUNE 2013**

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2013

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NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2013
CONSOLIDATED INCOME STATEMENT

		SIX MONTHS ENDED	
		30 June	30 June
		2013	2012
	Note	Shs'000	Shs'000
Interest income		5,573,025	5,597,247
Interest expense		(2,141,362)	(3,078,357)
NET INTEREST INCOME		3,431,663	2,518,890
Fee and commission income		518,274	525,406
Fee and commission expense		(29,478)	(31,534)
NET FEE AND COMMISSION INCOME		488,796	493,872
Foreign exchange income		706,426	813,039
Other operating income		388,738	192,121
OPERATING INCOME		5,015,623	4,017,922
Impairment on loans and advances		(342,573)	(105,070)
Employee expenses		(1,122,335)	(961,181)
General and administrative expenses		(923,125)	(674,218)
OPERATING EXPENSES		(2,388,033)	(1,740,469)
PROFIT BEFORE TAXATION		2,627,590	2,277,453
Income tax expense		(760,861)	(684,084)
PROFIT FOR THE PERIOD		1,866,729	1,593,369
Profit attributable to:			
Equity holders of the Bank		1,861,006	1,568,461
Non-controlling interests		5,723	24,908
		1,866,729	1,593,369
EARNINGS PER SHARE			
- BASIC & DILUTED		Shs 3.44	Shs 2.93
DIVIDEND PER SHARE			
- DECLARED	2	0.25	-

	SIX MONTHS ENDED	
	30 June	30 June
	2013	2012
	Shs'000	Shs'000
PROFIT FOR THE PERIOD	1,866,729	1,593,369
OTHER COMPREHENSIVE INCOME:		
Exchange differences on translation of foreign operations	(16,593)	(75,044)
Fair value changes in available-for-sale financial assets		
– Government securities	321,134	340,300
OTHER COMPREHENSIVE INCOME FOR THE PERIOD NET OF TAX	304,541	265,256
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	2,171,270	1,858,625
Total comprehensive income attributable to:		
Equity holders of the Bank	2,165,547	1,833,717
Non-controlling interests	5,723	24,908
	2,171,270	1,858,625

NIC Bank Limited**Interim Financial Statements for the six months ended 30 June 2013****CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

	AS AT	
	30 June	31 December
	2013	2012
	Shs'000	Shs'000
ASSETS		
Cash and balances with Central banks	5,848,416	7,050,962
Items in the course of collection	377,049	429,545
Due from banking institutions	9,801,892	8,188,716
Government securities	12,358,059	17,478,232
Derivative assets held for risk management	-	83,123
Loans and advances to customers	71,006,628	71,540,092
Other assets	1,580,732	913,742
Current income tax recoverable	85,552	17,860
Investments	247,771	257,632
Deferred tax asset	245,536	243,931
Property and equipment	1,038,581	1,009,891
Intangible assets	1,095,527	1,127,492
Operating lease prepayments	7,312	7,375
Total assets	103,693,055	108,348,593
LIABILITIES		
Customer deposits	79,991,713	83,379,576
Due to banking institutions	1,233,907	3,571,280
Lines of credit	3,631,380	3,655,414
Current income tax payable	3,228	383,325
Other liabilities	1,863,189	1,823,422
Unclaimed dividends	53,954	53,954
Total liabilities	86,777,371	92,866,971
EQUITY		
Capital and reserves attributable to equity holders of the Bank		
Share capital	2,714,921	2,714,921
Share premium	1,208,068	1,208,799
Revaluation surplus on property	155,083	155,083
Investments revaluation reserve	129,570	(30,787)
Translation reserve	(430,687)	(414,094)
Statutory reserve	667,599	687,543
Revenue reserves	11,976,588	10,638,623
	16,421,142	14,960,088
Non-controlling interests	494,542	521,534
Total equity	16,915,684	15,481,622
Total liabilities and equity	103,693,055	108,348,593

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2013

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2013

Non-Distributable					Distributable				
Share Capital	Share Premium	Revaluation Surplus on property	Investment revaluation reserve	Translation reserve	Statutory Reserve	Revenue Reserves	Equity attributable to equity holders	Non-controlling interests	Total
Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
1,974,488	-	159,864	(437,164)	(79,084)	533,581	7,902,122	10,053,807	469,146	10,522,953
-	-	-	-	-	-	1,568,466	1,568,466	24,908	1,593,374
-	-	-	-	(207,938)	-	-	(207,938)	-	(207,938)
-	-	-	340,300	-	-	-	340,300	-	340,300
-	-	-	340,300	(207,938)	-	1,568,466	1,700,828	24,908	1,725,736
-	-	-	-	-	57,085	(57,085)	-	-	-
-	-	-	-	-	-	(98,724)	(98,724)	-	(98,724)
1,974,488	-	159,864	(96,864)	(287,022)	590,666	9,314,779	11,655,911	494,054	12,149,965
2,714,921	1,208,799	155,083	(30,787)	(414,094)	687,543	10,638,623	14,960,088	521,534	15,481,622
-	-	-	-	-	-	1,861,005	1,861,005	5,723	1,866,727
-	-	-	-	(16,593)	-	-	(16,593)	-	(16,593)
-	-	-	321,134	-	-	-	321,134	-	321,134
-	-	-	321,134	(16,593)	-	1,861,005	2,165,546	5,723	2,171,268
-	(731)	-	-	-	-	-	(731)	-	(731)
-	-	-	-	-	(19,944)	19,944	-	-	-
-	-	-	(160,777)	-	-	-	(160,777)	(178,404)	(339,181)
-	-	-	-	-	-	-	-	145,690	145,690
-	-	-	-	-	-	(542,984)	(542,984)	-	(542,984)
2,714,921	1,208,068	155,083	129,570	(430,687)	667,599	11,976,588	16,421,142	494,543	16,915,684

CONSOLIDATED STATEMENT OF CASH FLOWS

	FOR THE PERIOD ENDED	
	30 June	31 Dec
	2013	2012
	Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	1,271,602	5,343,733
Income tax paid	(1,208,650)	(1,406,507)
Net cash generated from operating activities	62,952	3,937,226
CASH FLOWS FROM INVESTING ACTIVITIES		
Investment in NIC Tanzania	(193,491)	-
Purchase of property and equipment	(149,547)	(258,698)
Purchase of intangible assets	(60,393)	(455,620)
Proceeds on sale of equipment	-	688
Net cash used in investing activities	(403,431)	(713,630)
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	(544,935)	(100,675)
Rights issue of shares	-	2,073,212
Bonus and rights issue expenses	(731)	(123,980)
Net cash (used in) / generated from financing activities	(545,666)	1,848,557
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS	(886,145)	5,072,153
CASH AND CASH EQUIVALENTS AT 1 JANUARY	12,110,149	7,055,642
Effect of foreign exchange rate changes	41,519	(17,646)
CASH AND CASH EQUIVALENTS AT 30 JUNE	11,265,523	12,110,149

NOTES TO THE FINANCIAL STATEMENTS

1) Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these consolidated interim financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2012 and have been prepared in accordance with International Accounting Standards 34, Interim Financial Reporting. These interim financial statements should be read together with the 2012 Audited Annual Financial Statements.

2) Dividend per share

At the Annual General Meeting held on for 8 May 2013, a first and final dividend in respect of 2012 of Shs 1.00 per share (2011 - Shs 0.25 final dividend per share) amounting to a total of Shs 542,984,000 (2011 – Shs 98,724,000) was approved by the shareholders and paid.

The Directors have approved payment of an interim dividend of Shs 0.25 per ordinary share of Shs 5.00 – Shs 135,746,000 (2012 – Nil) for the year 2013.

3) Segmental reporting – Geographical segment

The group operations are within three geographical segments: Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Group Executive Committee of management.

June 2013

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Operating income	4,462,031	443,735	109,857	5,015,623
Profit before tax	2,598,683	22,434	6,473	2,627,590
Profit after tax	1,846,896	15,302	4,531	1,866,729
Loans and advances to customers	64,016,944	5,529,666	1,460,018	71,006,628
Customer deposits	73,919,424	5,569,008	503,281	79,991,713

June 2012

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Operating income	3,735,957	281,964	-	4,017,922
Profit/(loss) before tax	2,205,452	72,000	-	2,277,453
Profit/(loss)after tax	1,543,355	50,014	-	1,593,369
Loans and advances to customers	57,808,875	4,508,957	77,582	62,395,414
Customer deposits	67,792,844	4,926,611	-	72,719,455

